

2Q strong beat with impressive memory results Quick Note

2Q earnings surprise; pre-bonus OP of KRW110tn

Samsung Electronics (SEC) announced 2Q26 preliminary results with revenue of KRW171tn and OP of KRW89tn. This is a surprise, as it exceeds our OP forecast of KRW76tn. The company's OP is a quarterly profit scale of nearly 1.5-2 times that of competitors with similar market capitalization, and is at the *highest level* of quarterly profit among global tech companies. Considering that bonus provisions of c. KRW20tn for 1Q and 2Q26 were all reflected in the 2Q statement, we estimate that SEC's pre-bonus 2Q OP should have been around KRW110tn.

Memory strength continued; sluggish profitability of foundry/LSI and MX divisions

This earnings surprise implies that SEC's memory division performance substantially beat our expectation, even considering memory price differentiation by suppliers is progressing, as mentioned in our June 24 *report*. We estimate the Foundry/LSI division recorded slightly improved pre-bonus operating losses in 2Q compared to the prior quarter, but the deficit scale should have grown larger upon inclusion of bonus provisions.

In our view, the Display division appears to have better-than-expected shipment volumes amid rising market share of leading companies such as Samsung and Apple (AAPL US, Not rated), but profitability appears to have declined due to price decline pressure. However, profit amount appears to be gradually growing based on revenue growth.

We estimate the MX division turned to losses in 2Q as memory price surges were being reflected in costs with a time lag. As its competitor Apple is likely to raise product prices by 15-25%, there is a high possibility that SEC will also raise smartphone prices further in 2H. However, profit improvement appears difficult as memory price uptrend is likely to continue in the third quarter as well.

Commodity memory price to grow ~20% q-q in 3Q; HBM profitability to catch up with that of commodity DRAM

We think that commodity DRAM/NAND prices will likely increase by 15-20% q-q in 3Q26F. Meanwhile, LTAs with customers should also gradually expand. Therefore, we expect the memory price growth pace to enter a gradual stabilization trend going forward. HBM, which has lower profitability than commodities, is likely to witness continued price uptrend, and we believe its profitability will converge toward that of commodity DRAM.

Maintain Buy and TP of KRW670,000; excessively undervalued vs. peers

Due to severe supply shortages, memory companies' mid- to long-term expansion plans are being more aggressive than previously planned, but we expect such efforts to have meaningful impact only after 2029F, and memory supply shortages appear highly likely to continue until then. We maintain our Buy rating and TP of KRW670,000. SEC is unfairly undervalued compared to competitors relative to its profit scale, in our view.

Rating Remains	Buy
Target price Remains	KRW 670,000
Closing price 6 July 2026	KRW 318,000

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Fig. 1: SEC – 2Q26 preliminary earnings

(K-IFRS, KRWtn)	2Q26P (preliminary)		Actual ¹ , vs. NMR	% q-q	% y-y	1Q26	2Q25
	NMR Est. (Mar 17)	Consensus					
Revenue	162.92	169.24	171.00	5%	28%	129%	133.87
Operating profit	76.27	84.20	89.40	17%	56%	1812%	57.23
%OPM	46.8%	49.8%	52.3%	5.5%p	9.5%p	46.0%p	42.8%
Semiconductor (DS)	75.15		90.5 (NMR Est)*	20%	70%	22157%	53.32
Memory	78.33		94 (NMR Est)*	20%	74%	2945%	54.00
Foundry/LSI	(3.19)		-3.5 (NMR Est)*	na	na	na	(0.69)
Display (SDC)	0.71		0.7 (NMR Est)*	-1%	74%	24%	0.40
MX/Network	0.13		-0.5 (NMR Est)*	na	na	na	2.80
Consumer Elec. (VD/DA)	0.07		0 (NMR Est)*	-100%	-100%	-100%	0.20
Harman	0.34		0.3 (NMR Est)*	-12%	52%	-39%	0.20
Net profit	65.02	30.44		na	na		47.10

Note: NMR Est - refers to our estimates on divisional breakdown of the company's preliminary results

Source: Company data, Bloomberg consensus, Nomura estimates

Appendix A-1

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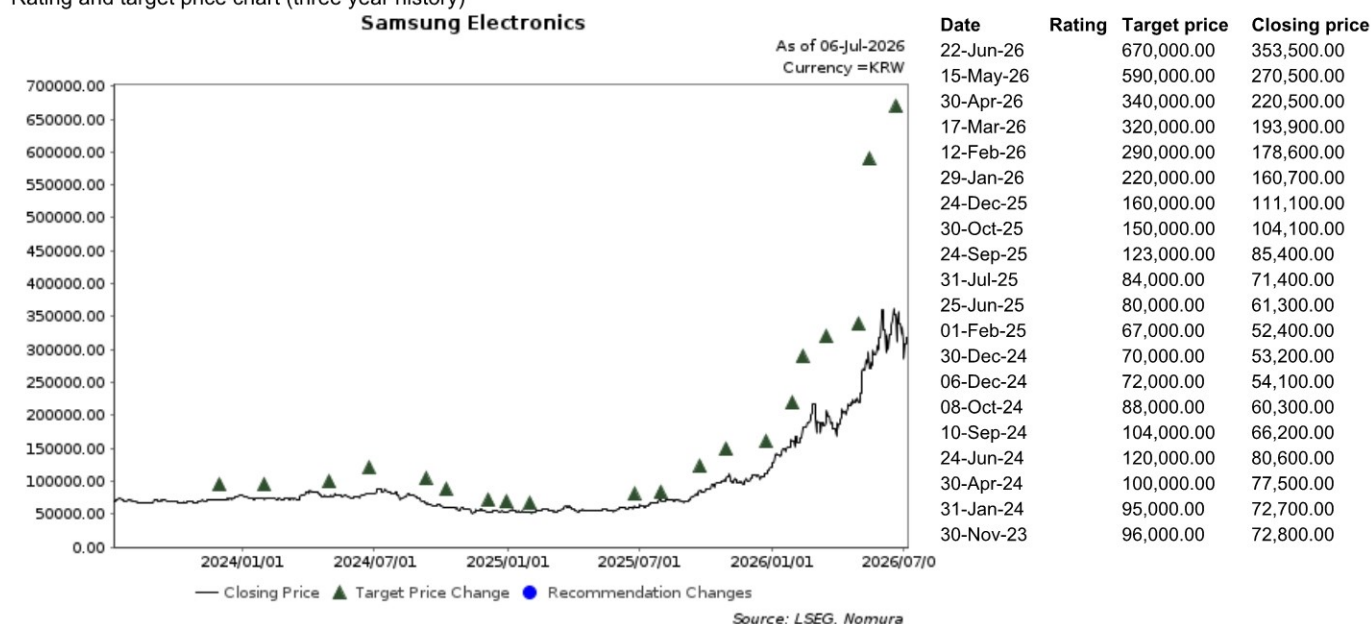
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
		KRW 318,000				
Samsung Electronics	005930 KS		06-Jul-2026	Buy	N/A	

Samsung Electronics (005930 KS)

KRW 318,000 (06-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our 12-month TP of KRW670,000 is derived by applying a target P/B of 5.0x to 12MF BVPS of KRW133,139. The target multiple reflects enhanced business stability and visibility backed by memory long-term agreements. The benchmark index for the stock is the KOSPI 200.

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